

How it works

Cash flow is the movement of cash into and out of a business over a set period of time. Cash flows in from the sale of goods and services, from loans, capital

investment, and other sources. It flows out to pay rent, utilities, employees, suppliers, and interest on loans. Timing income to correspond with outgoings is key.

Loans

Bank loans and overdrafts

- › Working-capital loans to meet shortfalls, using anticipated income as collateral
- › Advances on sales invoices from factoring (payment-collecting) companies
- › Short-term overdrafts
- › Also known as cash flow from financing activities

Other revenue

Grants, donations, and windfalls

- › Grants from government or other institutions – usually for research and development
- › Donations and gifts (not-for-profit organizations)
- › Sales of assets and investments
- › Repayment received for loans made to other organizations
- › Tax refunds



or stock

CASH OUT

Suppliers

Payments for materials and services

- › Cost of raw materials needed to manufacture goods for sale
- › Cost of stock—local or imported
- › Fees for services (consulting or advertising) to generate revenue
- › Payments to contractors involved in providing goods and services

CASH OUT

Tax

Payments to tax authorities

- › Corporation tax based on profits shown in annual financial statements
- › Payroll tax paid by employers on behalf of employees
- › Sales tax and/or VAT on goods or services
- › The type and rate of taxes vary depending on national tax laws

CASH OUT

Equipment

Purchase of fixed assets

- › Cost of building and equipment, such as computers and phones, office furniture, vehicles, plant, and machinery
- › Offset by depreciation. See pp.32–33.